cross-subsidy on account of the levy as sugar mills were under a transition). The Report suggested some level of central support to help states meet the cost to be incurred on this account may be provided for a transitory period (which has been announced on April 4, 2013);

(v) dispensing with the regulated release mechanism (of non-levy) sugar;

(vi) stable trade policy;

(vii) no quantitative or movement restrictions on byproduct like molasses and ethanol and dispensing with compulsory jute packing.

(viii) a stable, predictable, and consistent policy reforms to be brought about in a fiscally neutral manner and issues considered for implementation in a phased manner.

In the meanwhile, following on the path of ongoing *'factor market reforms'* the GoI decontrolled the sugar industry in *April 2013* – effective for the 'sugar year' September 2012 - August 2013. It abolished the decades-old practice of regulating 'how much sugar a mill can sell in the open market' and the 'levy' system in which a company is forced to sell 10 per cent of the output at a loss to the FCI for supplies through the PDS (Public Distribution System) – they will be no more under the levy obligation. The *next move* of reform may be 'linking sugar and sugarcane prices'.

To continue subsidised supply to the poor, states will now have to buy sugar at market rates and maintain the existing PDS sale price of Rs 13.50 per kg, which has not been revised for a decade and is substantially lower than the average market price of Rs. 35 per kg.

Q. 52 Describe the role of 'energy pricing' and the recent steps taken by the government in reforming the sector.

Ans. The economic role of rational energy pricing can hardly be under-estimated. Rational energy prices provide the right signals to both the producers and consumers and lead to a demand-supply match, providing incentives for reducing consumption on the one hand, and stimulating production on the other. Aligning domestic energy prices with the global prices, especially when large imports are involved, may be ideal option as